

Merck & Co., Inc Q4 2024 Earnings

Prepared Remarks

February 4, 2025



**Forward-looking statement of Merck & Co., Inc.,
Rahway, N.J., USA**

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Mr. Rob Davis – Merck & Co., Inc., Chairman and Chief Executive Officer

[SLIDE 4 - Strategy & Business Update]

Thanks Peter. Good morning and thank you for joining today's call.

[SLIDE 5 - Committed to saving and improving the lives around the world]

2024 was another year of significant advancement across our company, and I'm proud of the continued progress we're making in developing and delivering transformative medicines and vaccines to help save and improve lives around the world. We are impacting patients on a global scale. In fact, in 2024 we reached nearly half a billion people with our medicines and vaccines, including through donations. We remain focused on the pursuit of breakthrough science and innovation as the source of sustainable long-term value creation for patients and shareholders.

[SLIDE 6 - Delivered on our key strategic priorities]

We're continuing to execute on our strategic priorities. We're progressing our pipeline, launching important new products that have significant patient benefit and strong commercial potential, advancing key clinical programs in our robust early- and late-phase pipeline, and augmenting our pipeline through promising business development. Our business remains well positioned thanks to the dedication of our talented global team, and I'm more confident than ever in our ability to advance patient care, fueling Merck's long-term growth potential.

[SLIDE 7 - 2024 performance and 2025 initial guidance]

Now, turning to our results and outlook. We delivered strong growth in 2024, reflecting demand for our innovative portfolio, including for KEYTRUDA, which continues to benefit more patients with cancer globally, the successful launch of WINREVAIR and strong performance of our Animal Health business. We also saw higher demand and achieved strong sales for GARDASIL outside of China.

[SLIDE 8 - Update on GARDASIL in China]

As we closed out 2024 and entered 2025, the market dynamics for GARDASIL in China have remained challenging. Like many other companies, we've seen increased pressure on discretionary consumer spending, including across the vaccine space more broadly, and demand for GARDASIL has not recovered to the level we had expected. As a result, overall channel inventory remains elevated at above normal levels.

In light of this, and based on further discussions with our commercialization partner, Zhifei, over the past couple of weeks, in particular regarding their most recent financial disclosure and working capital levels, we've made the decision to take a new approach and temporarily pause shipments to China beginning this month and through at least mid-year. We believe taking this action now will facilitate a more rapid reduction of inventory and help support the financial position of our important and valued partner.

Importantly, we believe China still represents a significant long-term opportunity for GARDASIL given the large number of females, and now males with our recent approval, that are not yet immunized, and we remain both committed and well-positioned to maximize this potential for the long-term.

Outside of China, demand for GARDASIL remains robust, and we expect strong growth this year and well into the future. Our overall business remains very healthy. In fact, irrespective of the performance of GARDASIL in China, we expect the company to deliver strong growth in the second half of this year, as well as in both 2026 and 2027.

Longer-term, our confidence in our ability to successfully navigate the KEYTRUDA LOE period is unchanged, which is based on the strength of our pipeline, the excitement we have for our ongoing and upcoming launches of innovative new products, and the commercial opportunity they represent.

[SLIDE 9 - Advancing and broadening our diverse pipeline]

Next, I'd like to turn to our research efforts. We're making remarkable progress across multiple therapeutic areas in our late-phase pipeline. In the fourth quarter, we announced:

- FDA acceptance for our filing of clesrovimab, our long-acting monoclonal antibody to protect infants from RSV disease;
- and positive topline results from three programs, including:
 - for subcutaneous pembrolizumab;
 - for islatravir in combination with doravirine in the treatment of HIV;
 - and for WINREVAIR from the ZENITH trial.

We also executed value-enhancing business development that is both science-led and portfolio informed. We licensed promising investigational assets including in oncology with a clinical-stage anti-PD-1/VEGF bispecific antibody from LaNova, and in cardiometabolic, with an oral GLP-1 receptor agonist candidate from Hansoh.

[SLIDE 10 - Evolving to a more diversified commercial portfolio with robust Phase 3 development program]

Merck is anchored today by a robust set of commercial products addressing important medical needs, and we're rapidly moving to a future with a much more diversified portfolio. We have amassed an expansive pipeline, with tremendous potential to further advance the practice of medicine around the world. You can expect a steady cadence of data readouts in the coming months and years leading to potential new launches as we seek to bring much needed innovation to patients. In fact, we have 20 potential new growth drivers, almost all of which have blockbuster opportunity. These include WINREVAIR and CAPVAXIVE, our adult pneumococcal conjugate vaccine which is now launching in the U.S., as well as many innovative assets currently in Phase 3 development.

[SLIDE 11 - Expanding diverse pipeline to drive patient impact and value creation]

Over the past three years, we have nearly tripled the number of assets in late-phase development across a broad range of therapeutic areas and modalities. Based on the significant progress, we see over \$50 billion of potential revenue opportunity from these programs.

We are positioned for long-term leadership in oncology as we continue to diversify and deepen our pipeline. We are excited about cardiometabolic as a future area of growth, including with our oral PCSK9 inhibitor program where we have important Phase 3 readouts this year. In immunology, HIV and ophthalmology, we have opportunities to bring forward first-in-class and/or best-in-class, blockbuster medicines.

Further, we expect to benefit from promising programs in our infectious disease and vaccines pipeline, strong growth in our Animal Health business, and many early-phase programs that will enter Phase 2 over the next few years. And we remain well positioned to pursue additional science-driven value-creating business development.

In summary, I have increased confidence in our long-term future. While the rapid change in the Chinese market for GARDASIL has caused a short-term headwind for our company, our overall business is healthy and growing. We remain strongly positioned to successfully navigate the KEYTRUDA LOE period, as we continue to deliver on our Purpose of saving and improving lives.

I want to again recognize the commitment and efforts of our global teams. Together, we remain focused on delivering and sustaining value for patients, shareholders and for all of our stakeholders today and well into the future.

With that, I'll turn the call over to Caroline.

Ms. Caroline Litchfield – Merck & Co., Inc., Chief Financial Officer

[SLIDE 12 - Business/Financial Results and Outlook]

Thank you, Rob. Good morning.

[SLIDE 13 - Strong Q4 and 2024 worldwide sales growth]

As Rob noted, we had another year of strong growth, reflecting continued robust demand for our innovative portfolio and demonstrating the importance of our products to the patients we serve. Growth was driven by oncology, Animal Health and new product launches, which more than offset the GARDASIL headwinds in China. These results demonstrate the strength of our business and give us confidence in our outlook. Our commercial and operational execution enables us to deliver value in the short term, while we invest in new innovations and deliver our pipeline for the long-term. Now, turning to our fourth quarter results.

Total company revenues were \$15.6 billion, an increase of 7%, or 9% excluding the impact of foreign exchange. The following revenue comments will be on an ex-exchange basis.

Our Human Health business sustained its momentum with sales increasing 8%, driven primarily by Oncology.

Our Animal Health business also delivered strong performance, with sales growth of 13%.

[SLIDE 14 - Oncology: KEYTRUDA continues to grow globally]

Turning to the performance of our key brands.

In Oncology, sales of KEYTRUDA grew 21% to \$7.8 billion, driven by continued robust global demand from metastatic indications and increased uptake from earlier-stage cancers.

In the U.S., KEYTRUDA grew across all key tumor types. In metastatic disease, we saw increased uptake for KEYTRUDA in combination with Padcev in first-line, locally advanced urothelial cancer, supported by the strong results from KEYNOTE-A39, as well as KEYTRUDA in combination with chemotherapy in first-line endometrial cancer, based on the compelling data from KEYNOTE-868. In the earlier-stage setting, growth was driven by increased use in resectable non-small cell lung cancer as well as triple negative breast cancer.

Outside the U.S., growth was driven by increased uptake in earlier stage cancers, including high-risk, early-stage triple negative breast cancer, as well as continued demand in metastatic disease. Inflation-related price increases consistent with market practice in Argentina also contributed to growth.

[SLIDE 15 - Oncology: Strength across broad portfolio]

Our broader oncology portfolio achieved strong growth including WELIREG with sales more than doubling to \$160 million driven by increased uptake in certain patients with previously treated advanced renal cell carcinoma in the U.S.

[SLIDE 16 - Vaccines: Broad vaccines portfolio driving global impact]

In Vaccines, GARDASIL sales were \$1.6 billion, a decrease of 18%, due to lower demand in China. In the U.S., sales benefitted from price and demand, partially offset by CDC purchasing patterns. Outside the U.S. and China, double digit sales growth was driven by higher overall demand, including the catch-up cohort in Japan.

In pneumococcal, CAPVAXIVE sales were \$50 million, driven by demand from the retail pharmacy channel. We have made great progress in achieving the commercial milestones necessary to ensure a successful launch and are well positioned to help protect adults from invasive pneumococcal disease.

VAXNEUVANCE sales decreased 9%, as growth from launches in international markets was more than offset by competitive pressures in the U.S.

[SLIDE 17 - Cardiovascular: Successful ongoing launch of WINREVAIR]

In Cardiovascular, we are seeing steady growth from the ongoing launch of WINREVAIR, which contributed \$200 million of sales, predominantly in the U.S., where we saw some impact to prescription volumes due to the holiday season.

Approximately 1,500 new patients in the U.S. received a prescription, bringing the total number of new patients prescribed to approximately 5,200 since launch. Access remains strong, and our experience continues to indicate that approximately 80% of those patients who receive a prescription will receive commercial product. Notably, we continue to see the vast majority of patients remain on treatment.

The breadth of physicians and depth at which they prescribe continues to grow. We are also seeing an increase in the percentage of prescriptions for patients not on prostacyclin background therapy.

Outside the U.S., initial launches are progressing well.

In summary, we remain confident in our growth expectations for WINREVAIR, as we look forward to positively impacting more patients with pulmonary arterial hypertension.

[SLIDE 18 - Animal Health: Strong growth across livestock and companion animal]

Our Animal Health business delivered another quarter of strong growth, with sales increasing 13%. Livestock growth reflects higher demand for poultry, sales from the recently acquired aqua portfolio from Elanco, and price. Companion animal sales growth reflects price.

[SLIDE 19 - Q4 2024 non-GAAP financial results summary]

I will now walk you through the remainder of our P&L, and my comments will be on a non-GAAP basis.

Gross margin was 80.8%, an increase of 3.6 percentage points driven by reduced royalty rates for KEYTRUDA and GARDASIL, as well as favorable product mix.

Operating expenses decreased to \$7.4 billion. Charges of \$700 million related to the license agreements with LaNova and Hansoh Pharma this quarter were lower than the charge of \$5.5 billion a year ago related to the collaboration with Daiichi Sankyo. Excluding these charges, operating expenses grew 10%, reflecting strategic investments in support of our robust early- and late-phase pipeline and key growth drivers.

Other expense was \$5 million. Our tax rate was 16.2%.

Taken together, earnings per share were \$1.72.

[SLIDE 20 – Initial 2025 financial outlook]

Now turning to our 2025 non-GAAP guidance.

We expect revenue to be between \$64.1 and \$65.6 billion, representing growth of 2 to 4%, excluding a negative impact from foreign exchange of approximately 2% using mid-January rates.

For GARDASIL in China, our guidance assumes no further shipments at the low-end and less than \$1 billion at the high-end. Excluding sales of GARDASIL in China in both 2024 and 2025, and the negative impact from foreign exchange, total company growth is expected to be 7 to 9%.

Our gross margin assumption is approximately 82.5%.

Operating expenses are assumed to be between \$25.4 and \$26.4 billion. This range includes a \$300 million payment related to the license agreement with LaNova which will be recognized upon completion of the technology transfer for MK-2010. As a reminder, our guidance does not assume additional significant potential business development transactions.

Other Expense is expected to be between \$300 and \$400 million.

We assume a full year tax rate between 16.0% and 17.0%.

We assume approximately 2.53 billion shares outstanding.

Taken together, we expect EPS of \$8.88 to \$9.03. This range includes approximately 9 cents related to the expected payment to LaNova and a negative impact from foreign exchange of approximately 35 cents, using mid-January rates.

[\[SLIDE 21 - Key modeling considerations\]](#)

As you consider your models, there are a few items to keep in mind.

In 2025, we are expecting to see the benefit of a more diverse commercial portfolio with continued strength in Oncology and Animal Health as well as contributions from new product launches.

During the first half of the year, we expect roughly flat year-over-year revenues as the headwind in China is offset by high single digit growth across the rest of our business. During the second half, we expect strong year over year growth.

Looking at GARDASIL longer-term, while we believe there continues to be a path to the \$11 billion, we feel it is prudent to withdraw this target given the uncertain timing of an economic recovery in China. Our growth expectations outside of China for this important vaccine remain unchanged, and we are well-positioned to protect more lives and drive strong growth beyond 2025.

For KEYTRUDA, U.S. sales benefitted from approximately \$200 million of wholesaler inventory buy-in during the fourth quarter, which we expect to reverse in the first quarter.

We expect Medicare Part D redesign to have a negative impact to sales of approximately \$400 million, primarily affecting WINREVAIR and our portfolio of small molecule oncology products, including WELIREG, Lynparza, and Lenvima.

At the beginning of 2025, we lowered the list prices of the JANUVIA family of products in the U.S. to more closely align them with net prices. The lower list price will reduce the rebate amount Merck pays to Medicaid and as a result, we expect higher net sales for these products in 2025.

[SLIDE 22 - Remain committed to balanced capital allocation strategy]

Now turning to capital allocation, where our strategy remains unchanged.

We will prioritize investments in our business to drive near- and long-term growth. We will continue to make disciplined investments in our key growth drivers and expansive pipeline.

We remain committed to our dividend, with the goal of continuing to increase it over time.

Business development remains a priority and we are well positioned to pursue additional science-driven, value-enhancing transactions.

We recently increased our authorization for share repurchases by \$10 billion to \$12 billion in total. Given the opportunities to invest in our business and augment our pipeline through business development, we expect to maintain a modest level of share repurchases this year. We remain committed to not having excess cash build on our balance sheet and the higher authorization provides flexibility to increase share repurchases, if appropriate.

To conclude, we enter 2025 with confidence in the outlook for our business, driven by global demand for our innovative medicines and vaccines, as well as our exceptional pipeline. Our long-standing commitment to leverage leading-edge science to improve the lives of patients has put us in a position of financial and operational strength. With investment in innovation and our ongoing focus on execution, we are well positioned to deliver value to patients, customers and shareholders now and well into the future.

With that, I'd now like to turn the call over to Dean.

Dr. Dean Li – Merck & Co., Inc., President, Merck Research Laboratories

[SLIDE 23 – Research Update]

Thank you, Caroline. Good morning.

We are making progress in early and late phase programs across multiple therapeutic areas. Today I will cover major updates since the last earnings call and provide a summary of highlights from 2024.

[SLIDE 24 – Important updates from across our cardiometabolic pipeline]

Starting with cardiometabolic disease. The Phase 3 ZENITH trial evaluating WINREVAIR in patients with pulmonary arterial hypertension, who are at high risk, demonstrated a statistically significant reduction in the risk of morbidity or mortality events compared to placebo, both on top of background PAH therapy. Based on the overwhelming efficacy the trial was stopped so that all participants have the option to receive WINREVAIR. Detailed results will be presented at the American College of Cardiology's ACC.25 conference in late March.

Following a review of the totality of efficacy data from the WINREVAIR clinical program, including positive results from the ZENITH trial, the External Steering Committee and Merck unanimously concluded that the Phase 3 HYPERION study should stop early. We discussed this with the FDA and have notified study investigators. Based on the strong clinical benefit WINREVAIR demonstrated in the STELLAR and ZENITH trials, it was determined that the HYPERION study had lost clinical equipoise. The study will remain blinded and all participants will have the option to receive WINREVAIR as part of the open-label, long-term extension study, SOTERIA.

We anticipate data will be available later this year and we will present at a future medical congress.

This reinforces growing recognition that WINREVAIR, the first and only activin signaling inhibitor for the treatment of PAH, has the potential to change the practice of medicine and be transformational for patients with this progressive and debilitating disease.

WINREVAIR has now been approved in more than 35 countries globally. Recently we submitted an application for approval to regulatory authorities in Japan.

More broadly in the cardiometabolic space, in December, we entered a licensing agreement with Hansoh Pharma for an investigational preclinical oral small molecule GLP-1 receptor agonist, now known as MK-4082, which will be entering the clinic this year. With our extensive experience in incretin biology, we are well-positioned to advance oral small molecule GLP-1 agonist-containing combinations with next generation agents for weight loss, as well as those that target cardiometabolic disease.

[SLIDE 25 - Building on our strong legacy in infectious disease and vaccines]

Next, infectious diseases. The FDA has set a target action date of June 10th for clesrovimab, our prophylactic long-acting monoclonal antibody for infants entering their first RSV season, when the risk of serious illness is greatest. If approved, clesrovimab would be the first and only single dose passive immunization for infants irrespective of weight with the potential to protect babies for the full RSV season.

Turning to HIV. We announced topline results from the two pivotal Phase 3 trials evaluating the investigational, once-daily, oral combination of doravirine and islatravir in adults with HIV infection that is virologically suppressed on

different antiretroviral therapy regimens. Detailed findings from these studies will be presented at an upcoming scientific congress and we plan to submit the data as part of a package for regulatory approval.

Islatravir, a potentially first in class Nucleoside Reverse Transcriptase Translocation Inhibitor, is also being evaluated in multiple late-phase clinical trials in combination with other antiretroviral therapies for the treatment of HIV. This includes ongoing Phase 3 trials in combination with Gilead's capsid inhibitor, lenacapavir, as a once-weekly oral treatment option.

We are also evaluating MK-8527, another investigational NRTTI candidate, as a potentially important once-monthly oral option for pre-exposure prophylaxis which we expect to advance to Phase 3 this year.

Next to vaccines. The National Medical Products Administration of China approved GARDASIL to help prevent certain HPV-related cancers and diseases in males 9 to 26 years old.

In November, at the International Papillomavirus Conference, we presented new clinical and real-world data for GARDASIL 9 that examined the prevalence of oral HPV infection, the burden of HPV-related head and neck cancers, as well as rates of HPV infection in females. This evidence reinforces the importance of gender neutral HPV vaccination with GARDASIL in adults up to age 45. More recently, the American Cancer Society's annual report on cancer facts and trends noted an increase in cervical cancer diagnosis rates in females ages 30 to 44. There remains a need to protect more individuals from HPV-related cancers.

In Europe, the Committee for Medicinal Products for Human Use of the European Medicines Agency recommended the approval of CAPVAXIVE for active immunization for the prevention of invasive disease and pneumonia caused by *Streptococcus pneumoniae* in adults.

[SLIDE 26 - Strengthening our leadership in oncology]

Moving to oncology. Our Phase 3 trial evaluating the investigational subcutaneous fixed dose combination of pembrolizumab and berahyaluronidase alfa, in combination with chemotherapy, compared to intravenous KEYTRUDA with chemotherapy, met its dual primary pharmacokinetic parameter endpoints of noninferiority. If approved, this route of administration would be a meaningful option for patients. We plan to share detailed findings of the study at an upcoming scientific congress.

Consistent with our growing, and increasingly diverse, pipeline of oncology candidates, more than twenty abstracts from studies evaluating treatment options for a range of hematologic malignancies were presented at the American Society of Hematology Annual Meeting. This included early results from the Phase 2 waveLINE-007 study evaluating zilovertamab vedotin, an investigational antibody drug conjugate targeting ROR1, in patients with diffuse large B-cell lymphoma.

On the regulatory front, in China, we received three approvals for KEYTRUDA-based regimens including:

- a neoadjuvant / adjuvant treatment regimen for patients with resectable non-small cell lung cancer based on KEYNOTE-671,
- the treatment of certain types of locally advanced cervical cancer based on KEYNOTE-A18,
- and first-line treatment of patients with urothelial carcinoma, in combination with Padcev based on KEYNOTE-A39.

In addition, WELIREG was approved for the treatment of adult patients with VHL associated renal cell carcinoma based on LITESPARK-004.

In Japan, The Ministry of Health, Labour and Welfare approved two KEYTRUDA-based regimens including:

- the treatment of advanced cervical cancer based on KEYNOTE-A18 and
- for primary advanced or recurrent endometrial carcinoma based on KEYNOTE-868.

In the U.S., the FDA granted Breakthrough Therapy Designation to sac-TMT, our investigational TROP-2 directed antibody drug conjugate, for the treatment of certain patients with previously treated advanced non-small cell lung cancer. Sac-TMT is being developed through a collaboration with Kelun-Biotech with ten ongoing Phase 3 studies across multiple solid tumors.

Finally, in December, we completed an exclusive global license agreement with LaNova Medicines for a novel investigational PD-1/VEGF bispecific antibody, now known as MK-2010. We plan to explore the full potential of MK-2010 across multiple tumor types in a global patient population.

[SLIDE 27 - Significant progress across our broad pipeline in 2024]

As Rob mentioned, 2024 was marked by significant pipeline progress. Greater than 20 Phase 3 studies were initiated spanning cardiometabolic, immunology, infectious diseases, oncology, ophthalmology and vaccines. We received more than 25 regulatory approvals in major regions, including for WINREVAIR and CAPVAXIVE.

At the same time, we successfully executed on our “one pipeline strategy”, by leveraging our clinical expertise and business development capabilities to identify and secure external opportunities where science, medical need and value intersected to expand, complement and diversify the pipeline.

[SLIDE 28 – Select milestones in 2025]

Acquisitions of Harpoon and EyeBio as well as an asset from Curon added important new biologic candidates in oncology, ophthalmology and immunology, respectively. License agreements with Hansoh and LaNova secured rights to potentially important candidates for cardiometabolic disease and oncology.

Notable milestones to look out for in 2025 include:

- Detailed results from the ZENITH trial; from islatravir-based regimens in HIV and in oncology for subcutaneous pembrolizumab as well as KEYTRUDA in earlier-stage head and neck squamous cell carcinoma are all scheduled to be presented at upcoming medical meetings.
- Results from three Phase 3 registration-enabling studies evaluating our oral PCSK9 inhibitor candidate enlicitide for the treatment of hypercholesterolemia are anticipated and
- The primary completion date of the Phase 2 CADENCE study, evaluating WINREVAIR in pulmonary hypertension due to left heart disease is scheduled for the Fall.

I look forward to providing further updates on our pipeline progress.

And now I will turn the call back to Peter.